CDS IGRL

Measuring trust. Building national capacity.

Expansion of Legal Metrology Services in Nigeria

EXPANDED INVESTMENT MEMORANDUM

NGN 50 billion proposed capital raise | 10-year proposed investor participation

Conceptual operating design, developed for this memorandum from source Sections 2, 4–6. It does not depict an installed system or verified operating capability.

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Expanded from “Investors Pitch Deck.docx”, dated 15 October 2026. Original prepared by CDS-IGRL Consultant (Astudity Limited). This expansion preserves the source in Appendix A and separates management targets from evidence, arithmetic corrections and proposed implementation controls.

Reading guide & investment status

This is not a verified offering memorandum, legal opinion, investment recommendation or evidence of an executed sovereign guarantee. No executed concession, signed guarantee, tariff instrument, audited collection ledger or independently verified asset register was supplied for this expansion. References to appointment, exclusivity, statutory powers, guarantees and enforceability are source memorandum claim; subject to diligence.

Original flow retained

Executive summary

1. Legal mandate

2. Revenue model — 13 operating streams within seven original buckets

3. Financial projections — corrected arithmetic and cash-flow requirements

4. Investment structure

5. Use of funds and technical procurement specifications

6. Investor protection clauses 12.1–12.6

7. Risk and mitigation

8. Implementation timeline — 24 months

9. Exit strategy

10. Call to action

Appendix A — complete original verbatim text

Decision gate

Proceed to controlled diligence, not unconditional funding. Release capital only against authenticated concession effectiveness, lawful fee and collection authority, a reconciled term sheet, bank-confirmed escrow arrangements, costed procurement and an independently challenged cash-flow model. Nothing in this expansion upgrades a management assertion into a verified fact.

Executive summary

The proposed investment supports a nationwide legal metrology service platform: equipment and standards, regional laboratories, field inspection mobility, a digital instrument registry, certification, billing and collection controls. The source describes CDS-IGRL as the sole federal concessionaire. That appointment and the scope of exclusivity are source memorandum claim; subject to diligence.

Investment rationale — conditional, not established

A lawful and consistently enforced verification regime can address under-enumerated instruments, fragmented records and collection leakage. The proposed combination of traceable testing, digital certificates and controlled settlement could improve accountability. Commercial investability depends on demonstrated service demand, lawful tariffs, collection conversion and the cost of serving dispersed instruments—not the size of a national target alone.

Priority unresolved matters

The investment case needs verified baseline collections; a tariff-by-instrument legal schedule; a deduplicated register; a bottom-up service-capacity plan; tax and cash-waterfall definitions; working-capital funding during rollout; signed security and payment-support documents; and an agreed distribution commencement date. The companion XLSX is the location for scenario analysis, not a substitute for these evidentiary inputs.

1. Legal mandate

The source cites Constitution Item 65 of the Exclusive Legislative List, Weights & Measures Act Cap W3 LFN 2004 Section 47, Legal Metrology Regulations 2012, Pre-Shipment Inspection Act Cap P25, a FEC directive dated 14 August 2012, and the ICRC Act 2005. Their applicability, current text, scope and interaction with this transaction are source memorandum claim; subject to diligence. No primary-law verification is represented here.

Addressable universe is not a billable register

The source cites 40M+ SMEs, 100k fuel pumps, 50k tankers, 2,000+ bowsers linked to a 650k bpd refinery, 12M electricity meters, 200M mobile subscribers and 5k manufacturers. These are unverified market assertions, not contracted customers. Subscribers are not automatically separately chargeable instruments; installed devices may be exempt, inactive, duplicated or outside the fee authority.

The source's comparison of NGN 420B with a reported NGN 1.5T ministry target produces 28%, but that ratio does not establish conservatism or achievable demand. The 2017, 2018, 2021 and 2022 historical / target figures and THISDAY / Investors King references require original publications and a reconciliation of scope and accounting period. The source also uses both NGN 1.5B and NGN 1.5T for 2022.

2. Revenue model

The original seven buckets are decomposed into 13 operationally distinct streams below. This is a split of the existing buckets, not 13 incremental forecasts. No unsupported sub-stream revenue allocation is introduced. Parent-bucket monthly targets remain NGN 12B, 6B, 5B, 4B, 3B, 2B and 3B respectively.

Figure 1. Source: supplied memorandum, Section 2. Management target, not actual. Total NGN 35B/ month; bars do not validate supporting arithmetic.

Common billing equation

Cash collections = eligible unique units × lawful fee per service × billable service frequency × completed-service coverage × collection realization, adjusted for exemptions, refunds, timing and tax treatment. Recurring annual fees cannot be treated as monthly fees. A customer, device or service must have a unique identifier so one regulated event is not billed under multiple streams.

13 streams I operational billing design

All counts and tariffs above are source memorandum claims; subject to diligence. Parent targets are management targets, not actual. No sum of sub-stream target revenues is asserted.

Revenue streams I continued

All counts and tariffs above are source memorandum claims; subject to diligence. Parent targets are management targets, not actual. No sum of sub-stream target revenues is asserted.

Revenue streams I continued

All counts and tariffs above are source memorandum claims; subject to diligence. Parent targets are management targets, not actual. No sum of sub-stream target revenues is asserted.

Bottom-up reconciliation: the target is not yet substantiated

3. Financial projections

The following is the source's flat full-target case, recalculated—not a bankable cash-flow forecast. It assumes NGN 35B gross every month for ten years with no ramp, arrears, revenue loss or inflation. "Gross" must be contractually defined relative to VAT, WHT, refunds and bank charges before these allocations can be implemented.

Rows "Within CDS" are components of the CDS 50%; do not add them again to total allocations. Residual is not audited profit and is before any costs or taxes not covered by reserve funding.

All figures in NGN billion. Management target, not actual. The identical years reproduce the source-target case; they do not resolve the source rollout inconsistency.

Investor return measures: timing is decisive

For NGN 50B fully funded at month zero and NGN 3.5B received at each month-end for 120 months: gross proceeds = NGN 420B; MOIC = 8.4x; gross proceeds ratio = 840%; simple net ROI = 740%; interpolated payback = 14.29 months (first whole monthly payment crossing capital occurs in month 15). No additional terminal principal repayment is assumed.

That monthly schedule yields an effective annual IRR of 125.166%. If NGN 42B instead arrives only at each year-end for ten years, annual IRR is 83.809%. Neither supports the source's approximately 68% without another cash-flow schedule. These are mathematical timing illustrations, not expected or promised investor returns. Actual tranche dates, ramp, deductions and distribution start dates must drive XIRR.

The source labels 8.4x as DSCR. That is invalid: DSCR requires cash available for debt service divided by scheduled principal and interest for each relevant period. A gross revenue profit share is not itself a debt-service schedule. DSCR should remain not applicable / not determinable unless a debt instrument and repayment schedule are specified.

Years 11–20: distinguish gross entitlement from net cash

At unchanged NGN 420B annual gross, a 60% CDS entitlement after the investor exits is NGN 252B annually and NGN 2520B across the next ten years (NGN 2.52T), before operating cost, capex, tax and reserves. The source's NGN 2.1T assumes a 50% share, not the 60% entitlement described in Clause 12.1. Neither amount is net enterprise value.

3. Financial projections | cash-flow architecture

The companion XLSX holds scenarios. This memorandum does not present unreviewed workbook outputs as verified results. At minimum, the underwriting model should run monthly through the full investor period, preserve the seven source targets separately from evidence-based stream forecasts, and show funding deficits rather than plug them with assumed distributions or unspecified debt.

Illustrative sensitivity — not forecasts

Arithmetic only: full NGN 50B at inception, constant collections from month one, no costs deducted from the investor share, no ramp or terminal principal. These rows do not assert achievable downside cases.

Required scenario tests

Test delayed legal effectiveness, delayed equipment import, slower rollout, lower eligible units, lower realized tariffs, partial collection, failed enforcement, FX depreciation, imported spares inflation, reserve shortfalls and refinancing unavailable. Show break-even collections, months of cash runway, peak additional funding need and investor returns for each scenario. Do not assume the source's 20% OPEX reserve equals actual operating cost.

4. Investment structure

The source proposes a “Senior Secured Gross Revenue Profit Share”: investor receives 10% of total defined gross for ten years as a first-line charge from the concessionaire’s 60% entitlement. Characterization as equity, debt, contractual participation or another instrument must be resolved by transaction counsel and tax advisers. The term “senior secured” does not establish priority without executed and perfected documentation.

Figure 2. Conceptual, not an installed platform or bank-approved mandate. Source: Sections 4 and 6. Percentages total 100% before separately resolved tax treatment.

Reconcile the capital call schedule before signing

Bank identities also differ: Section 4 mentions Zenith / Access / First Bank and CBN Trustee (STL Trustees); Clause 12.4 refers to SIB Bank and CBN Trustee. Confirm the actual deposit bank, trustee’s exact legal name, authority, segregation, signatories, account titles, sweep instructions, fees, dispute handling and insolvency treatment. No bank or trustee commitment is verified.

Proposed release controls

Approve each draw only after a signed independent milestone certificate, invoice and procurement reconciliation, compliance sign-off and confirmation that the remaining committed liquidity covers the next operating phase. Define blocked-account rules, dual authorization, permitted investment of idle funds, reporting rights and cure periods. Agree whether distributions can lawfully commence before revenue is generated; do not imply a day-one payment source that has not been funded.

5. Use of funds | NGN 50 billion

Figure 3. Source: memorandum Section 5. Management allocation target, not actual spend; total NGN 50B. Percentages: 50%, 20%, 16%, 8% and 6%.

Technical and import acceptance

The source describes “China Agreement 1”, FOB Qingdao / Shanghai, CIF Lagos Apapa and insurance at 110% CIF. Confirm the chosen Incoterm per purchase order, transfer of risk, freight and insurance payer, named port, customs documentation, PAAR / Form M, duty assumptions, LC conditions and title transfer. FOB and CIF must not be treated as interchangeable contractual obligations.

The source proposes an 18-month warranty, China factory acceptance testing witnessed by the investor and 10% retention. Require documented test protocols, independent calibration evidence, site acceptance, local service response, spares availability, warranty exclusions and retention release triggers. Product compliance claims and the reference to OIML certification are source memorandum claim; subject to diligence, not verified certification of the proposed equipment.

6. Investor protection clauses 12.1–12.6

The source labels this section “Investor Protection Clause & Sovereign Guarantee — Official Wording”. That label is preserved verbatim in Appendix A, not adopted as evidence of execution or legal validity. All legal and guarantee assertions in this section are source memorandum claim; subject to diligence. A statutory basis for regulation does not itself create an executed sovereign payment guarantee.

Clause 12.3 is not a substitute for credit analysis

Budgetary provision depends on lawful appropriation and execution; TSA recovery requires authority and available balances; an extension of tenor only produces cash if future revenues exist; a comfort letter is not necessarily a payment obligation or committed refinancing. The source’s NGN 65B capital-plus-30% mechanism is not equivalent to guaranteeing the NGN 420B illustrated ten-year distributions. Legal counsel must determine whether any remedy is cumulative, exclusive, contingent or enforceable.

7. Risk & mitigation

Team and governance gaps — no biographies invented

Before investment approval, identify and diligence the chief executive / concession lead, metrology technical director, laboratory and quality head, field operations lead, technology / security lead, finance controller, treasury manager and legal / compliance lead. Obtain CVs, references, professional credentials, organizational responsibilities, compensation, conflicts, hiring costs and succession plans. Establish an investment oversight committee with independent technical and financial review, and keep regulatory decisions with the legally authorized public body.

8. Implementation timeline l 24 months

Timeline and collection levels are management targets, not actual achievements. Proposed release gates are editorial recommendations, not signed conditions.

Payout-start conflict must be resolved

The source promises NGN 3.5B monthly from day one, but its own rollout first targets NGN 15B/month at months 6–9 and NGN 35B/month at months 12–18. At a pure 10% share, NGN 15B gross supports NGN 1.5B—not NGN 3.5B—before any other terms. A day-one distribution needs a documented cash source or contractual support; recycling investor capital into payouts must not be represented as operating yield.

Anchor the investor participation period to an explicitly agreed date: first funding, concession effectiveness, commercial operation or another defined event. Delays change payback and IRR. If investor years begin before full national operations, the flat ten-year source case cannot remain the underwriting base without adjustment.

Operational reporting cadence

Weekly during deployment: procurement, installed assets, staff readiness, blockers and cash runway. Monthly: units verified, certificates issued, invoices, settled collections, aged receivables, exceptions, bank reconciliation and waterfall. Quarterly: independent technical review, risk register, board / regulator review and capital reforecast. Annually: external financial audit and accreditation-scope review.

9. Exit strategy

Clarify redemption and transfer economics

Clause 12.1 keeps the investor in place for ten years irrespective of payback; the refinancing route implies an earlier exit. Agree whether early redemption is permitted, who may elect it, what premium applies, how future participation is valued, and whether consent is required. Specify treatment of accrued but unpaid distributions, taxes, security release, surviving audit rights and disputes.

The base investment decision should not depend on an assumed refinancing or sale. Model hold-to-expiry cash flows with no terminal sale value unless a binding redemption obligation exists. A secondary-market valuation is not cash available for distribution and should not be added to ten-year proceeds without removing sold future rights.

10. Call to action

CDS-IGRL seeks NGN 50B from one investor or a consortium, with the source naming pension funds, SIB Bank, private equity and HNWIs. The source requests a 25B first close for equipment, effectiveness and factory testing, followed by a 25B second close for labs and portal. These are source funding requests, not an agreed closing schedule; reconcile them with Sections 4 and 8 before execution.

Recommended investor process

Minimum data-room index

Corporate and beneficial ownership records; audited accounts and bank statements; signed concession and amendments; FEC / ICRC / ministry approvals; legal and tax opinions; tariff instruments; customer and instrument enumeration; historic invoices and settled receipts; all seven revenue bridges; procurement contracts and invoices; calibration and conformity evidence; import documentation; site agreements; software design and vendor terms; privacy and security policies; staffing and training plan; escrow and domiciliation documents; guarantees, bonds and insurance policies; security searches; claims, litigation and conflicts; scenario workbook and assumptions log.

Approval recommendation

Authorize diligence expenditure and document negotiation subject to a defined budget and timetable. Do not authorize unrestricted capital release on the present source claims alone. Require a signed reconciliation memo resolving revenue arithmetic, funding schedules, collection thresholds, distribution timing, tax base, legal support, post-year-10 sharing and exit rights.

Source and illustration register

Primary source: “Investors Pitch Deck.docx”, supplied by the client; memorandum date 15 October 2026; prepared by CDS-IGRL Consultant (Astudity Limited). Charts use only its stated targets and allocations, explicitly labeled. All process illustrations are original analytical designs derived from the source operating concept; they are not equipment photos or product screenshots. No externally licensed photography is included. CDS navy / green identity follows the supplied client envelope artwork and project brand notes; no TBN branding is used.

Appendix A l original verbatim text

Complete source text follows in original paragraph order, without correction. This archival appendix preserves all assertions, technical specifications, clauses 12.1–12.6, original section numbering, risks, timeline, exits and call to action. Source legal, appointment and guarantee assertions remain source memorandum claim; subject to diligence. Errors and contradictions are retained intentionally for traceability; the analytical body explains them.

Verbatim preservation means original paragraph text, including punctuation and original numerical claims. Source formatting is not represented as an authenticated signed instrument.

INVESTMENT MEMORANDUM: EXPANSION OF LEGAL METROLOGY SERVICES IN NIGERIA

FMITI - Department of Weights & Measures

Concessionaire: CDS-IGRL

Investment: NGN 50,000,000,000 (FIFTY BILLION NAIRA)

Date: October 15, 2026 l

EXECUTIVE SUMMARY

CDS-IGRL is the sole concessionaire appointed by the Federal Government of Nigeria (Federal Ministry of Industry, Trade & Investment) to administer, modernize, expand, and manage Legal Metrology Services nationwide. We are mandated to deploy world-class, OIML-certified metrology infrastructure across all economic sectors.

FMITI Weights & Measures generated NGN 400M in 2017, NGN 805.07M actual in 2021 with only 14 vehicles, targeting NGN 5B in 2018 and NGN 1.5 Trillion in 2022 per THISDAY/Investors King. Gap is equipment, vehicles, technology.

CDS-IGRL will deploy NGN 50B to close gap, expand to new sectors (Power, Banking, Telecoms, Water, Agriculture, Transport as approved by Hon Minister Niyi Adebayo 2022) and generate MINIMUM NGN 35B monthly = NGN 420B annual.

Sharing: FGN 40% = NGN 168B to TSA, Investor 10% = NGN 42B/year = NGN 3.5B/month, CDS-IGRL 50% = NGN 210B/year.

INVESTOR HIGHLIGHTS: NGN 50B in, Payback 14.3 months, 10-year return NGN 420B = 840% ROI = 8.4x, IRR ~68%, Monthly payout NGN 3.5B from Day 1, Secured by Act W3, Escrow, Equipment lien, FMITI Guarantee.

1. LEGAL MANDATE

- Constitution Item 65 Exclusive List: Weights & Measures is Federal

- Weights & Measures Act Cap W3 LFN 2004 Section 47

- Legal Metrology Regulations 2012 (fees)

- Pre-Shipment Inspection Act Cap P25

- FEC Directive Aug 14 2012: enforcement

- ICRC Act 2005 for PPP

- Market: 40M+ SMEs, 100k fuel pumps, 50k tankers, Dangote 650k bpd = 2,000+ bowsers, 12M electricity meters, 200M mobile subscribers, 5k manufacturers.

FMITI NGN 1.5T target — our NGN 420B is only 28% = conservative.

2. REVENUE MODEL - HOW NGN 35B/MONTH

1. Oil & Gas Downstream: NGN 12B/mo — 20k pumps @100k/quarter, 10k tankers @200k, 200 depots @5M

2. Non-Oil Retail & FMCG: NGN 6B/mo — 150k market scales @40k/year, 20k scanners @100k

3. Power & Utilities NEW: NGN 5B/mo — 500k electricity meters @10k/year (new FMITI sector 2022)

4. Telecoms/Banking/ICT NEW: NGN 4B/mo — billing system certification

5. Manufacturing & Weighbridges: NGN 3B/mo — 2,000 weighbridges 60-150T @1.5M/year

6. Aviation/Marine/Bulk: NGN 2B/mo — airport bowsers, ship draft

7. Licensing & Pattern Approval: NGN 3B/mo — 5,000 manufacturers/repairers @600k avg

TOTAL: NGN 35,000,000,000 MONTHLY MINIMUM

3. FINANCIAL PROJECTIONS (10-YEAR INVESTOR PERIOD)

Year 1: Gross 420B, FGN 168B, Investor 42B, CDS 210B, Monthly payout 3.5B

Year 2: Same

Year 3-10: Same

Total 10 Years Gross: NGN 4.2 Trillion

Investor Total: NGN 420B

Payback: 14.3 months (1 year 2 months)

ROI: 840% (8.4x)

IRR: ~68%

DSCR: 8.4x

After Year 10, concession has 10 more years Year 11-20 ZERO investor share = NGN 2.1 Trillion upside to CDS-IGRL.

4. INVESTMENT STRUCTURE

Amount: NGN 50B in 5 tranches — Tranche 1 NGN 5B (Equipment + FMITI Effectiveness + ICRC), Tranche 2 NGN 5B progressively as need arises (Labs + Portal + Vehicles)

Instrument: Senior Secured Gross Revenue Profit Share

Share: Investor 10% of Gross = first-line charge from Concessionaire 60% share (so Govt 40%, Investor 10%, CDS 50%)

Waterfall Escrow with Zenith/Access/First Bank + CBN Trustee (STL Trustees):

1. VAT/WHT to FIRS

2. FGN 40% to TSA = 14B monthly

3. Investor 10% auto-sweep 25th = 3.5B monthly (irrevocable DOM)

4. OPEX Reserve 20% = 7B monthly

5. CDS-IGRL Profit 30% = 10.5B monthly

Funds never touch CDS operational account — only escrow disbursement with Trustee approval.

5. USE OF FUNDS NGN 50B

Equipment NGN 25B (50%): 200 weighbridges 60-150T OIML R76, 100 master prover tanks 1k-5k L 0.01% accuracy, 15,000 reference weights M1/F2/E2, 10,000 bulk flow meters + LPG test rigs, 50 mobile verification vans. Source China Agreement 1 FOB Qingdao/Shanghai CIF Lagos Apapa Insurance 110% CIF.

Infrastructure NGN 10B (20%): 6 zonal ISO 17025 labs (Abuja, Lagos, Kano, PH, Enugu, Kaduna) traceable to NIS primary standards kept by W&M Dept per OIML requirement, 150 Hilux + 50 motorbikes (FMITI commissioned 14 in 2022), Central Data Center + DR Abuja.

Technology NGN 8B (16%): National Legal Metrology Portal (registration, pattern approval, verification, e-certificate, e-payment) FMITI mandate, IDSP platform as per FMITI ISP/IDSP policy 2022 with ISPs, AI fraud detection for fuel pumps/scales, USSD _346_ for market traders to verify scale, Mobile App, Real-time dashboard for Investors/FMITI/ICRC.

Human Capital NGN 4B (8%): Recruitment & training 800 Inspectors (FMITI target 1,000 = 28 per state incl FCT), OIML Paris certification, China factory training.

Compliance NGN 3B (6%): ICRC, Performance Bond 2% = 1B, Comprehensive + Political Risk NEXIM/Afrexim, Legal, Audit 3-year FAS for bank LC.

6. INVESTOR PROTECTION CLAUSE & SOVEREIGN GUARANTEE — OFFICIAL WORDING

CLAUSE 12.1 TENOR & PROFIT SHARE: Concession Tenor 20 years from Effective Date (Signing + ICRC + FEC). Investor admitted as 10% Gross Revenue Profit-Sharing Partner for fixed 10 years Year 1-10. 10% computed as 10% of Total Gross Revenue and deemed first-line charge from Concessionaire 60% share. Investor remains partner 10 years irrespective of payback. After 10 years investor exits, CDS retains 100% of 60% share Year 11-20.

CLAUSE 12.2 MINIMUM REVENUE UNDERTAKING: Parties agree Minimum Expected Monthly Revenue NGN 35B based on FMITI published targets (NGN 5B 2018, NGN 805M actual 2021, NGN 1.5B target 2022, NGN 1.5T internal target per THISDAY), Weights & Measures Fees Regs 2012, market enumeration by ISPs. Forms basis for Cash Flow Model Schedule 3.

CLAUSE 12.3 FMITI STRUCTURED PAYBACK GUARANTEE: As Grantor and regulator, FMITI undertakes that if in any quarter net collection falls below NGN 35B due to regulatory delay, enforcement moratorium, force majeure, change in law, FMITI shall in line with W&M Act Cap W3 Sec 47 and ICRC Act 2005 structure alternative payback via: (a) Direct budgetary provision in FMITI capital budget for W&M Dept, (b) Authorization for recovery from W&M TSA balance at CBN, (c) Extension of investor tenor beyond 10 years on same 10% until NGN 50B + 30% return (NGN 65B) achieved, (d) Issuance of FMITI Comfort Letter to CBN/BOI for refinancing.

CLAUSE 12.4 ESCROW WATERFALL: All revenues into Tripartite Escrow with SIB Bank managed by CBN Trustee. Waterfall: 1) VAT/WHT, 2) FGN 40% to TSA, 3) Investor 10% auto-sweep 25th monthly 3.5B, 4) OPEX 20%, 5) CDS 30%. Investor sweep irrevocable protected by DOM.

CLAUSE 12.5 SECURITY: (i) Domiciliation of all receivables ISP/IDSP, (ii) Lien and chattel mortgage on NGN 25B equipment, (iii) Assignment of 20-year Concession + FMITI approvals, (iv) Corporate Guarantee CDS + personal guarantee Directors, (v) Comprehensive All-Risk + Political Risk NEXIM/Afrexim, (vi) Performance Bond SIB Bank.

CLAUSE 12.6 AUDIT & TRANSPARENCY: Investor has (i) Real-time dashboard IDSP portal daily collections per sector/state/equipment, (ii) Monthly audit rights by investor auditor, (iii) Quarterly joint review FMITI + ICRC, (iv) Monthly escrow bank statement.

7. RISK & MITIGATION

Regulatory: Act W3 National Assembly; cannot change by Minister, 20y FEC/ICRC, FMITI Guarantee 12.3.

Collection: Task Force sealing powers under Act, e-payment, IDSP blocking non-compliant.

Equipment: FOB/CIF 18-month warranty, factory acceptance test China (you witness), 10% retention.

Political: NEXIM/Afrexim cover, ICRC, tenure exceeds political cycles.

FX: Fees Naira, equipment imported once, no FX post-import.

Constitutional (Leadership NG concern): ISP/IDSP model — CDS is ISP not regulator, regulatory oversight remains Director W&M per Minister Adebayo 2022 model.

8. IMPLEMENTATION TIMELINE 24 MONTHS

M0-1: Financial Close Tranche1 5B, Escrow, FMITI Effectiveness, ICRC OBC

M1-2: Factory Acceptance Test China Qingdao/Shanghai Agreement 1

M3-4: CIF Lagos Apapa PAAR/Form M customs

M4-6: Build 6 labs, Deploy 100 Hilux, Recruit 400 Batch1

M6-9: IDSP Phase1 Lagos/Abuja/PH collections target 15B/mo

M9-12: Tranche2 25B, Expand 20 states target 25B/mo

M12-18: Full national 36+FCT, Power+Telecoms activation target 35B/mo stable

M18-24: ISO 17025 accreditation, Afrexim refinancing, first annual audit

9. EXIT STRATEGY

Year2: Refinance NGN 50B via InfraCorp NGN 15T fund, BOI, Afrexim Infrastructure Bond at 18% vs 25% after 6 months of 35B/mo proof — early premium.

Year5: List revenue stream via 7y Infrastructure Bond NGX backed by 20y concession receivables.

Year10: Contractual exit after NGN 420B earned, CDS retains NGN 2.1T upside Year11-20.

Early Exit: Sell 10% profit share to pension fund after Year3 at 5x EBITDA = NGN 210B valuation (5 x 42B).

10. CALL TO ACTION

We seek NGN 50B from one or consortium (Pension Fund, SIB Bank, PE, HNWI). First close 25B triggers equipment order + FMITI effectiveness + factory test (Investor invited). Second close 25B triggers labs + portal. Funds safety: Only escrow disbursement per Use of Funds with Trustee approval and milestone verification.

Next Steps: NDA -> Data room (Concession Agreement, Equipment invoices FOB, 3-year FAS) -> Meeting with FMITI Director Weights & Measures -> Site visit Lagos Apapa + Abuja pilot lab -> Financial Close & Escrow setup.

Prepared by: CDS-IGRL Consultant (Astudity Limited)

For: Prospective Investors & Lenders

Evidence label	How to read this document
Source memorandum claim	Statements drawn from the supplied memorandum; not independently authenticated.
Management target, not actual	Revenue, collection, deployment, return and allocation targets. Not forecasts validated by market evidence.
Arithmetic / illustrative calculation	Recomputed from stated inputs; does not establish that the underlying inputs are achievable.
Proposed control / conceptual illustration	Recommendations and original diagrams; not evidence of existing personnel, contracts, software or assets.

Source investment proposition	Assessment for the investment committee
NGN 50B capital requirement	Source use-of-funds categories sum to NGN 50B. Tranche descriptions conflict and must be unified before close.

Source investment proposition	Assessment for the investment committee
NGN 35B monthly / NGN 420B annual gross	Management target, not actual. Seven bucket targets sum correctly but are not supported by the stated units, tariffs and frequencies.
40% FGN / 10% investor / 50% CDS	Proposed gross allocation. The CDS 50% includes a 20% operating reserve and 30% residual; it is not net profit.
NGN 3.5B investor monthly; NGN 420B over 10 years	Undiscounted full-target illustration before investor taxes, fees, delays and losses. Day-one payout conflicts with the phased rollout.
8.4x / 840% / 740%	8.4x gross proceeds MOIC; 840% proceeds-to-capital ratio; 740% simple net ROI if NGN 420B is total proceeds and no additional principal is returned.
“FMITI Guarantee” and security package	Source memorandum claim; subject to diligence. Statutory references do not establish an executed or enforceable sovereign payment guarantee.

Authority / entitlement	Evidence and counsel questions required before reliance
Concession appointment and 20-year tenor	Executed agreement, parties, signing authority, effective-date conditions, amendments, termination rights, exclusivity boundaries and any required FEC / ICRC approvals.
Tariffs and regulated services	Gazetted fee schedule and amendments; instrument definitions; legal billing event; due dates; exemption rules; authority for power, telecoms, banking, water, agriculture and transport expansion.
ISP / IDSP operating model	Executed service-provider authorizations; retained regulatory decision rights; lawful enforcement workflow; limits on sealing, blocking or coercive collection.
Collection and TSA routing	Written Treasury / bank operating instructions; lawful deductions; treatment of taxes; permission to assign receivables and distribute concession proceeds.
Payment support and enforcement	Executed guarantee or support document, authorized obligor, approvals, appropriation mechanics, sovereign-immunity advice, jurisdiction and enforceability opinion.
Security assignment	Consent to concession assignment, asset ownership, lien priority, perfection filings, lender step-in rights and consequences of concession termination.

Stream / parent target per month	Source inputs	Billing logic & missing evidence
01 Fuel pumps Oil & gas / 12B	20,000 × NGN 100,000 per quarter	Verify dispenser; record serial/site, test result and legal fee; bill quarterly only where authorized. Need active register, quarterly capacity and exemptions.
02 Tankers / road bowsers Oil & gas / 12B	10,000 × NGN 200,000; frequency unstated	Calibrate compartment capacity; certificate tied to vehicle and tank. Need re-verification interval, completed jobs and distinction from aviation bowsers.
03 Depots / storage systems Oil & gas / 12B	200 × NGN 5M; frequency unstated	Define whether fee is per site, tank, system or visit. Need capacity bands, interval and limits on overlap with flow-meter testing.
04 Retail / market scales Retail / 6B	150,000 × NGN 40,000 per year	Enumerate and verify scale, not every transaction. Need registration coverage, trader exemptions, collection yield and seasonal field plan.
05 Retail scanners Retail / 6B	20,000 × NGN 100,000; frequency unstated	Define scanner or pricing-system certification scope. Need legal fee unit, service interval, multi-store rules and evidence of payable demand.

Stream / parent target per month	Source inputs	Billing logic & missing evidence
06 Power / utility meters Power / 5B	500,000 × NGN 10,000 per year	Distinguish sampling, model approval and individual meter verification. Need utility agreements, eligible count, meter access and lawful payer.
07 Telecom billing systems Telecoms-bank-ICT / 4B	No units, tariffs or frequency supplied	

Stream / parent target per month	Source inputs	Billing logic & missing evidence
		Certify defined operator billing system; do not multiply a system fee by subscriber count. Need operator inventory and legal mandate.
08 Banking / ICT systems Telecoms-bank-ICT / 4B	No units, tariffs or frequency supplied	Define testable billable system and payer. Need regulatory boundary review, banks / platform enumeration, tariff and renewal cycle.
09 Manufacturing / weighbridges Manufacturing / 3B	2,000 × NGN 1.5M per year	Verify identified 60–150T weighbridge and maintain calibration record. Need installed base, access logistics and separation from equipment sales.

Stream / parent target per month	Source inputs	Billing logic & missing evidence
10 Aviation measurement Aviation-marine / 2B	No units, tariffs or frequency supplied	Service airport fuel bowsers or metering systems subject to approved scope. Need airport access, safety permits, fee unit and delivery capacity.
11 Marine / bulk measurement Aviation-marine / 2B	No units, tariffs or frequency supplied	Define draft survey / bulk verification services and legal charge event. Need vessel / terminal inventory and port-interface agreements.
12 Licensing Licensing-pattern / 3B	Shared source pool: 5,000 × NGN 600,000 average	License eligible manufacturers / repairers. Need license classes, term, fee split and proof that the average does not already include pattern approval.
13 Pattern approval Licensing-pattern / 3B	Same shared pool; no separate sub-target	Approve distinct instrument models under lawful delegated process. Need application volumes, testing fees, renewals and no double counting with licenses.

Source quantity × price	Supported arithmetic	Unresolved target bridge
20,000 pumps × 100,000 / quarter	NGN 2B per quarter; NGN 0.667B monthly equivalent	Oil & gas bucket targets 12B/month. Tankers add 2B per unspecified billing cycle; depots add 1B per unspecified cycle.
150,000 scales × 40,000 / year	NGN 6B per year; NGN 0.500B monthly equivalent	Retail target is 6B/month. Scanners add 2B per unspecified cycle, not automatically per month.
500,000 meters × 10,000 / year	NGN 5B per year; NGN 0.417B monthly equivalent	Power target is 5B/month; a twelvefold annual-to-monthly discrepancy before collection losses.
Telecoms / banking / ICT	Cannot calculate without count, tariff and interval	4B/month target has no supporting service arithmetic.
2,000 weighbridges × 1.5M / year	NGN 3B per year; NGN 0.250B monthly equivalent	Manufacturing target is 3B/month; a twelvefold annual-to-monthly discrepancy.
Aviation / marine / bulk	Cannot calculate without count, tariff and interval	2B/month target has no supporting service arithmetic.
5,000 licensees × 600,000 average	NGN 3B per unspecified billing cycle	3B/month is unsupported until fee mix, cycle and pattern-approval overlap are established.

Allocation	Monthly NGN B	Annual NGN B	10 years NGN B
Gross collections	35	420	4200
FGN 40%	14	168	1680
Investor 10%	3.5	42	420
CDS share 50% before costs	17.5	210	2100
Within CDS: OPEX reserve 20%	7	84	840

Allocation	Monthly NGN B	Annual NGN B	10 years NGN B
Within CDS: residual 30%	10.5	126	1260

Year	Gross	FGN	Investor	CDS before costs
1	420	168	42	210
2	420	168	42	210
3	420	168	42	210
4	420	168	42	210
5	420	168	42	210
6	420	168	42	210
7	420	168	42	210
8	420	168	42	210
9	420	168	42	210
10	420	168	42	210
Total	4200	1680	420	2100

Cash-flow layer	Required mechanics / inputs
Opening cash and financing	Dated equity / participation tranches; restricted vs unrestricted balances; financing fees; conditions precedent; explicit debt drawdowns only when documented.
Operating receipts	13-stream unit register; fee authority; billing interval; activation curve; service capacity; collection success; settlement lag; refunds and bad debt; no duplicate services.
Tax and statutory remittances	Tax-inclusive vs exclusive pricing; VAT treatment; WHT credit vs cash leakage; timing of remittances; gross-revenue allocation base; corporate income tax.
Capital deployment	Purchase milestones and currency; FX rate; freight; 110% CIF insurance basis; import duties; installation; commissioning; contingency; vendor retention; asset replacement.
Operating spend	Inspector and management payroll; training; fleet fuel / maintenance; lab consumables; calibration; accreditation; hosting; telecoms; insurance; audit; legal; enforcement support.
Working capital and reserves	Receivables; payables; tax timing; inventory / spares; minimum operating reserve; restricted cash; liquidity tests; release conditions.
Distributions	FGN remittance; investor percentage of defined collected gross; timing; any lawful deferral; CDS residual after required cash uses; no double-counted reserve cost.
Closing cash and returns	Cash roll-forward; funding shortfall; covenant tests; monthly dated investor cash flows; payback, MOIC and XIRR; terminal receipts only if contractually supported.

Fraction of source steady-state gross	Gross / month NGN B	Investor 10% / month NGN B	Simple payback months
25%	8.75	0.875	57.14
50%	17.50	1.750	28.57
75%	26.25	2.625	19.05
100%	35.00	3.500	14.29

Source location	Description	Required resolution
Section 4	50B in five tranches; first 5B, second 5B; remaining three unspecified	Dates, amounts and release conditions must sum to the agreed commitment.
Section 8		

Source location	Description	Required resolution
	First tranche 5B at M0–1; second tranche 25B at M9–12	Only 30B is explicitly scheduled here; reconcile remaining 20B and procurement timing.
Section 10	First close 25B; second close 25B	Conflicts with both earlier schedules; must not be silently substituted as the agreed structure.

Budget	Original scope retained	Procurement / diligence overlay
Equipment • 25B / 50%	200 weighbridges, 60–150T, OIML R76; 100 master prover tanks, 1k–5k L, 0.01% accuracy; 15,000 reference weights M1/F2/E2; 10,000 bulk flow meters + LPG test rigs; 50 mobile verification vans.	Verify specification fitness, measurement uncertainty, approval certificates, quantities, vendor pricing, serial tracking, calibration chain and installed capacity.
Infrastructure • 10B / 20%	Six zonal ISO 17025 labs: Abuja, Lagos, Kano, PH, Enugu, Kaduna; traceability to NIS primary standards kept by W&M Dept per source; 150 Hilux, 50 motorbikes; central data center + DR Abuja.	Verify sites, leases, environmental controls, accreditation scope, traceability agreements, fleet TCO and geographic redundancy. Two Abuja sites may share correlated risk.
Technology • 8B / 16%	National Legal Metrology Portal: registration, pattern approval, verification, e-certificate, e-payment; IDSP platform with ISPs; AI fraud detection for pumps / scales; USSD _346_; mobile app; investor / FMITI / ICRC dashboard.	Verify shortcode assignment, vendor rights, procurement milestones, identity and access management, security tests, data protection and offline field operation.
Human capital • 4B / 8%	Recruit / train 800 inspectors; source FMITI target 1,000, described as 28 per state incl FCT; OIML Paris certification and China factory training.	Validate certification routes, training providers and costs. Reconcile headcount arithmetic and deployment ratios; do not assume training is booked or recognized.
Compliance • 3B / 6%	ICRC; 2% performance bond = 1B; comprehensive + political-risk cover proposed via NEXIM / Afrexim; legal; audit; three-year FAS for bank LC.	Clarify bond face value versus cash premium / collateral: a 1B bond amount is not necessarily a 1B expense. Obtain executable insurance terms and scope.

Clause	Source position retained	Decision-ready diligence / reconciliation
12.1 Tenor & profit share	20-year concession from effective date (signing + ICRC + FEC); investor 10% of total gross during years 1–10, charged to CDS 60%; investor stays 10 years irrespective of payback; CDS retains 60% in years 11–20.	Verify effective date and conditions, commencement of investor clock, gross definition, deductions, transfer and early redemption rights; reconcile later exit provisions.
12.2 Minimum revenue undertaking	35B expected monthly; reliance on ministry targets, 2012 fees and ISP enumeration; basis for Schedule 3.	An expected revenue figure is not a demonstrated minimum cash receipt. Obtain Schedule 3; reconcile 1.5B vs 1.5T target references and validate enumeration.
12.3 Structured payback guarantee	If quarterly net collection falls below 35B because of listed events: budget provision, TSA recovery, tenor extension to 65B total or comfort letter for refinancing.	Monthly target 35B versus quarterly net trigger 35B is ambiguous. A monthly target implies 105B over three months. Define net, trigger measurement, exclusions, payout amount, deadline and enforceable obligor.
12.4 Escrow waterfall	VAT/WHT; FGN 40%; investor 10% swept on 25th; OPEX 20%; CDS 30%; irrevocable DOM.	Resolve tax base and collection cutoff; reconcile bank / trustee names; execute bank-acknowledged domiciliation, account-control and reporting documents.
12.5 Security	Receivables domiciliation; lien / chattel mortgage on 25B equipment; concession assignment; corporate and directors' guarantees; all-risk / political-risk insurance; SIB Bank bond.	Authenticate assets and guarantor capacity; perfect security; obtain consent and priority searches; verify insurers, exclusions and claims mechanics; distinguish bond face amount from premium.
12.6 Audit & transparency		Specify audit standards, access rights, exception escalation, reporting deadlines and

Clause	Source position retained	Decision-ready diligence / reconciliation
	Real-time portal, monthly investor audit rights, quarterly FMITI + ICRC review and monthly escrow statement.	remedial rights. Confirm counterparties accept these duties.

Risk	Proposed mitigation / required evidence	Residual investor exposure
Authority and concession validity	Independent legal opinion; authenticated approvals; conditions precedent; periodic compliance review.	Statutory interpretation, termination, scope disputes and public-law challenges remain possible.
Tariff / revenue overstatement	Bottom-up audited register; legal tariffs; controlled pilot; reconciliation to settled cash.	Targets may remain unattainable even with operational deployment.
Collections and enforcement	Digital invoice IDs; lawful enforcement protocol; bank reconciliation; segregation of duties; appeals process.	Evasion, political resistance and weak collectability cannot be eliminated by software.
Implementation / working capital	Stage-gated rollout; contingency; funded reserves; service-capacity tests before expansion.	Day-one distributions and deferred launch may cause a liquidity deficit.
Equipment and accreditation	Independent FAT/SAT; standards traceability; spares; warranty enforcement; accredited scope.	Nominal capacity or purchased equipment does not prove valid testing capability.
FX and lifecycle replacement	Currency-linked procurement budget; stress-tested import cost; spares stock; replacement reserve; lawful hedging where practical.	Contrary to source “no FX post-import”, imported spares, software, service, consumables and replacement assets can create ongoing FX exposure.
Political / insurance	Binding cover reviewed for exclusions, waiting periods, limits, currency and claims enforceability.	NEXIM / Afrexim references do not establish cover; political or regulatory events may be excluded.
Cyber, privacy and fraud	Access control; encryption; audit logs; independent penetration test; backup / recovery drills; data-retention rules.	Compromised billing or certificates can disrupt collections and cause liability.
Constitutional / sector overlap	Document ISP role, regulator oversight and interfaces with sector agencies; obtain counsel advice.	The source ISP characterization does not by itself resolve jurisdiction or enforcement challenges.
Key persons / execution capacity	Named accountable leaders; references; independent technical review; succession and conflict policies.	No verified leadership biographies or relevant operating track record were provided.
Refinancing / exit / valuation	Underwrite without refinancing; documented consent and transfer rules; independent valuation.	No lender, pension fund, listing venue or buyer commitment is evidenced.

Source period	Source milestone / target	Proposed evidence-based release gate
M0–1	Financial close; 5B tranche 1; escrow; FMITI effectiveness; ICRC OBC.	Authenticate authority, reconcile funding schedule, execute account mandates and approve baseline procurement / liquidity plan.
M1–2	China FAT, Qingdao / Shanghai, Agreement 1.	Independent test results, serial-number schedule, invoice matching and insurance / shipment readiness.
M3–4	CIF Lagos Apapa; PAAR / Form M; customs.	Customs clearance, landed-cost variance, title confirmation, damage survey and delivery certificates.
M4–6	Six labs; 100 Hilux; 400 first-batch recruits.	Site readiness, fleet acceptance, staff competence, safety procedures and validated test methods. Reconcile initial 100 Hilux with total 150.

Source period	Source milestone / target	Proposed evidence-based release gate
M6–9	IDSP Phase 1 Lagos / Abuja / PH; 15B/month target.	Paid pilot invoices, deduplicated units, bank-matched receipts, tariff legality, complaint handling and service-capacity evidence.
M9–12	25B tranche 2; expansion to 20 states; 25B/month target.	Release only under the reconciled tranche plan; demonstrate unit economics, operating cash sufficiency and repeatable field quality.
M12–18	36 states + FCT; power and telecoms; stable 35B/month target.	Sector authorizations, delivery capacity, sustained collection evidence and independent operational review.
M18–24	ISO 17025 accreditation; Afrexim refinancing; first annual audit.	Accreditation award within defined scope, audited financial statements; refinancing only if separately approved and committed.

Source route	Original concept	Investor underwriting treatment
Year 2 refinancing	50B via InfraCorp 15T fund, BOI or Afrexim infrastructure bond; 18% vs 25%; after six months of 35B/month proof; early premium.	No committed financing evidenced. Test lender eligibility, underwriting, debt capacity, consent, costs and interaction with the ten-year share. Rates are source claims, not current offers.
Year 5 capital markets	Seven-year NGX infrastructure bond backed by 20-year concession receivables.	Require legal eligibility, rating, audited track record, trustee structure, approvals and market demand. Timing and issuance size are unverified.
Year 10 contractual expiry	Exit after illustrated 420B distributions; CDS retains source-stated 2.1T upside.	Expiry is contractual, not proof of receipts. Corrected 60% post-year-10 gross share is 2.52T over years 11–20 at unchanged gross, before costs.
After Year 3 secondary sale	Sell 10% share to pension fund at 5× EBITDA, source valuation 210B = 5×42B.	42B is modeled gross participation revenue, not demonstrated EBITDA. A remaining-term participation requires discounted cash flows, risk adjustments, transfer consent and a willing eligible buyer.

Gate	Required deliverable	Proposed accountable owner
1. NDA and controlled data room	Executed NDA; indexed document register; source provenance; access and Q&A logs.	Sponsor counsel / transaction lead
2. Authority and contracts	Concession and approvals; current fee schedule; sector mandates; guarantee / support texts; legal opinion.	Independent transaction counsel
3. Technical and commercial diligence	Equipment quotes; FAT plan; asset / customer register; paid-pilot data; tariff and frequency validation.	Independent metrology and commercial advisers
4. Financial underwriting	Reconciled monthly model; three-year FAS; cash evidence; tax review; FX and replacement stress; explicit funding gaps.	Finance lead / independent financial reviewer
5. Institutional meetings and visits	Meeting with FMITI Director Weights & Measures; Lagos Apapa and Abuja pilot-lab visits; written verification of findings.	Sponsor and investor diligence team
6. Investment approval and documents	Unified term sheet; dated draw plan; enforceable security; bank-confirmed escrow; agreed distribution start.	Investment committee / counsel / deposit bank
7. First release and ongoing oversight	Conditions-precedent certificate; milestone budget; reporting and exception calendar; independent sign-off.	Trustee / authorized signatories